SportFlex

Reducing the money parents put at risk when a child starts a sport or changes coach

Stage Gate 1 — Discovery · FIN 577 Entrepreneurial Finance · Semester Innovation Project

King Saud University · College of Business Administration

Dhaifallah Alotaibi · Saad Alaqeel · Joud Alohali · Bayda Almajed · Layla Aleithan

Instructor: Dr. Hessah Aljarbou · November 2026

Recommendation: **Proceed, with conditions**

SportFlex

Parents pay before they can judge; when the choice is wrong, the family carries the loss

Parents in Riyadh whose child, aged 6–17, is starting a sport or changing coach must **commit money to a single provider** — by prepayment, a monthly fee or a session package — **before they can judge** whether the coach, the sport or the training format suits their child. When the choice proves wrong, **most of the cost falls on the family**, because unused value is forfeited or remains locked with that provider.

FORFEITED ON ONE PACKAGE — E

up to SAR 1,890

Ten-session private package at one Riyadh academy (SAR 2,700); family stops after three sessions, no refund or transfer

SHARE OF MONTHLY INCOME — C

≈14%

Same loss as a share of median Saudi household monthly disposable income (SAR 13,655)

SEARCH TO FIRST SESSION — O

2 weeks → 3 months

Time from first search to first session, across our 8 interviews

Not a coaching-quality problem, not a payment-speed problem, not universal — the risk concentrates on the first commitment to an unfamiliar provider or sport (§2.4).

Dossier §2.1 problem statement · Table 1 · Elite Sports Academy (n.d.-a) prices · GASTAT (2024a) income · Table 5 search durations · §2.4 boundaries

SportFlex

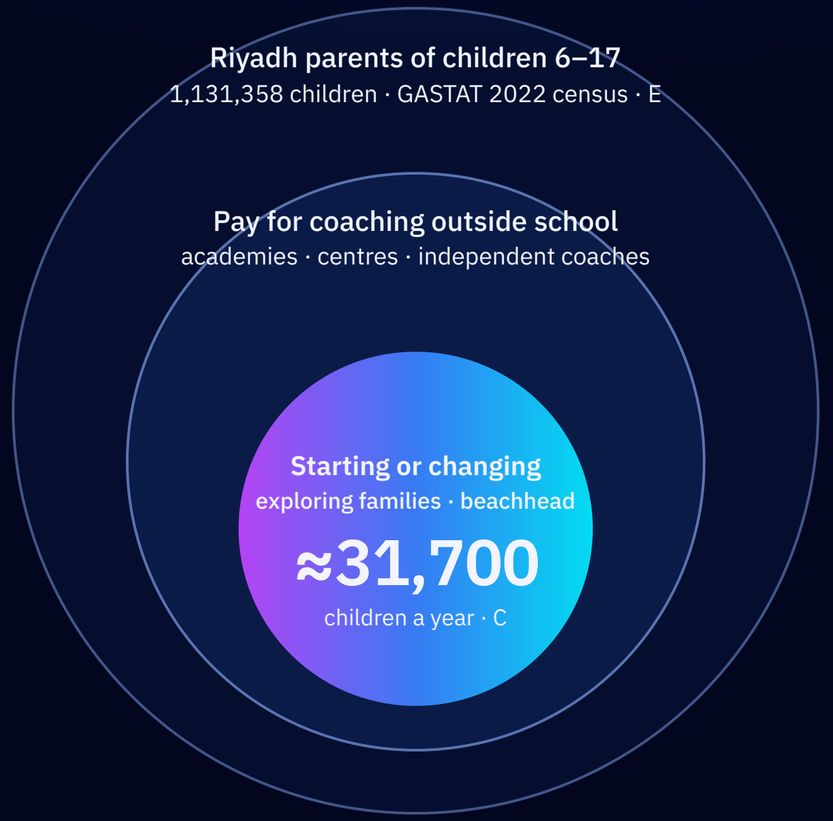
Our customer is the Riyadh parent whose child is starting or switching — the “exploring family”

PRIMARY CUSTOMER · DOSSIER §3.1

Parents and guardians in Riyadh city whose child, aged 6–17, is **starting a new sport or changing coach**; who decide on and pay for private, academy or independent coaching outside school; and who have paid or searched for such coaching in the past 12 months.

Beachhead: exploring families — the child has not yet settled on a sport or coach.

One person holds all three roles	Searcher, judge and payer — all 8 interviews [O]
Starting or changing is where risk concentrates	All 3 fit-related failures followed a first commitment [O]
Large and countable	1,131,358 children aged 6–17 in Riyadh city [E]; ≈31,700 exploring a year at serviceable providers [C]
Reachable	Academy waiting areas, parent WhatsApp groups, summer-camp registrations



× Settled with a coach they intend to keep — problem largely absent
× Performance-focused families (P4) — held as a possible second segment
× Children under 6 and over 17

Dossier §3.1–3.2 · Table 2 · Appendix B line 13 (31,678) · GASTAT (2023) via Urbistat

SportFlex

Seven of eight committed money before any evidence; failures were about fit, not coaching

Method: 8 structured interviews in Arabic, 23–24 Oct 2026, Riyadh city, 8 districts, parents aged 30–49, children 7–15. Guide described no product; payment questions asked last (Mom Test discipline). Coded by two team members. [0]

THEME	COUNT OF 8	TELLS US
Obtained coaches' names through family, friends, social media or maps	8 of 8	Names are easy to get
Judged suitability by trial, ratings, a friend or a visit — no credential check	7 of 8	Suitability can only be judged by trying
Paid before sessions or bought a package; none paid per session	7 of 8	**Money is committed before evidence**
Met restrictive cancellation, refund or freeze terms	4 of 8	Outcome depends on the provider's terms
Failure due to the child's fit (club, sport, format), not coaching quality	3 of 8	**The money went on finding out what suits the child**
Lost money or paid "against my will"	2 of 8	The loss is real, not hypothetical
Treated flexibly (session carried over, kept or made up)	3 of 8	Flexibility exists, at the provider's discretion, within one provider

> *"Unfortunately there is no way; I have to try."*
>
> P1 · translated from Arabic · anonymised

SCREENER · 6 NOV 2026	15 responses, 9 paying families	**9 of 9** paid in advance by monthly subscription	**7 of 9** paid SAR 1,000+	**0 of 9** ended a paid commitment early	Confirms prepayment; failures look less common than the interviews suggested — see slide 5

Dossier §4.1–4.2 · Tables 4 and 5 · §4.6 Table 8 · §4.7 limitations · Appendix A · Participant codes P1–P8

SportFlex

The evidence moved us twice: from an information problem to a risk-allocation problem, then to a two-sided one

START OF SEMESTER

“Parents can’t find trustworthy coaches”

→ a directory with verified reviews

INTERVIEWS

AFTER PARENT INTERVIEWS

“Parents commit money before they can judge fit”

→ a risk-allocation problem

FEEDBACK · PROVIDERS

AFTER INSTRUCTOR FEEDBACK + PROVIDER RESPONSES

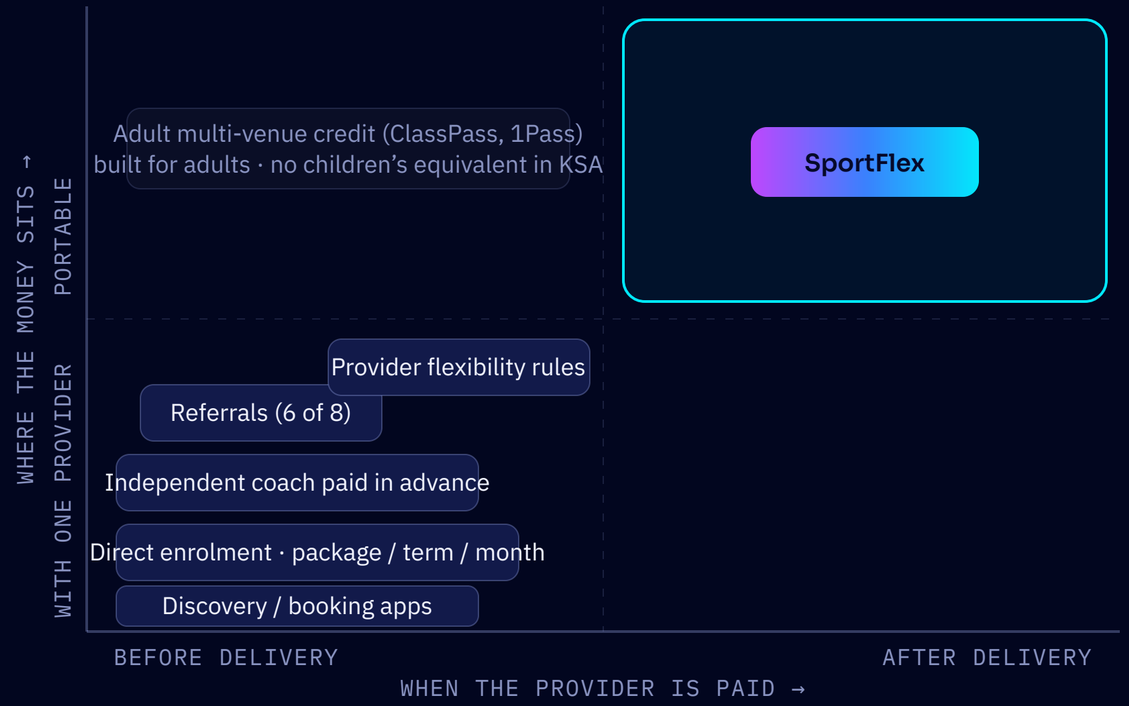
“Risk must move away from families without removing the payment certainty providers rely on”

→ a two-sided problem

WE ASSUMED	EVIDENCE SHOWED	WE CHANGED
The main difficulty is discovering coaches	All 8 got names easily; 7 of 8 committed money first O	Problem redefined as financial risk at commitment
Paying per completed session removes the risk	3 failures were about fit, not undelivered sessions O	Added portability: unused value follows the child across providers
A balance could carry bonus value like package discounts	E-money must be issued and redeemed at nominal value (SAMA) E	Bonus value dropped; price of flexibility stated openly
Providers would accept payment after delivery	All 3 coaches collect upfront; A2 needs advance payment to pay its coaches and rejected it O	Block settlement for group programmes; A2 then accepted weekly advance settlement at 10% (non-binding LOI)
35% of first commitments fail	Screener: 0 of 9 ended early; pooled 4 of 17 ≈ 24% O	Failure share lowered to 25% (range 10–50%)

SportFlex

Parents have plenty of options; none lets unused value travel to another provider



Positions are the team's qualitative reading, not measurements. Redrawn from Dossier Figure 2.

ALTERNATIVE	WHAT IT SOLVES	INFLEXIBILITY THAT REMAINS
Direct enrolment: package, term or monthly fee	Structured programme; monthly plans cap exposure at one month	Value locked to that provider; group absences not refunded (P3); cancellation refused (P2)
Independent coach paid in advance	Flexible scheduling	A transfer is final; refunds at the coach's discretion; no credential check
Referrals (6 of 8)	Shorter search; borrowed trust	Describes the coach in general, not this child's fit; no financial protection
Provider flexibility rules (freeze, carry-over, make-up)	Partial protection against missed sessions	Discretionary; stays within one provider
Discovery / booking apps (GoPal, Skool.Cool, Academies App, KidsGuideKSA)	Discovery, comparison, booking	Payment terms follow the provider; no cross-provider value
Adult multi-venue credit (ClassPass, 1Pass)	Portable value, per-visit payouts	Built for adults; studio complaints about payouts; no children's equivalent in KSA found

- **The strongest competitor is the status quo:** direct payment costs nothing to arrange and providers prefer it.
- **The market already prices commitment:** 5% term discount; ≈10% ten-session package discount [E]
- **The white space is a positioning opportunity, not a protected one** (desk search 24–30 Oct 2026, not exhaustive).

SportFlex

A SAR 253m serviceable market in Riyadh; about SAR 5.3m a year of prepaid value at risk

Method: bottom-up — children in scope × share whose parents pay for coaching (P) × annual spend per coached child (S). Unit is annual parent spending (transaction value), not SportFlex revenue. 2022 census, 2026 prices. **Inputs:** P = 8% (5–12%) [J] · S = SAR 4,000 (2,700–6,000) [J] from published prices [E] · serviceable share 70% (60–80%) [J]

TAM
Paid out-of-school coaching, children 6–17, Saudi Arabia

SAR 1,953m / yr

6,102,726 × 8% × SAR 4,000 [C]

SAM
Riyadh city, at providers able to contract with a platform

SAR 253m

1,131,358 × 8% × 70% × SAR 4,000 [C]

Beachhead
Exploring families within the SAM

SAR 127m

63,356 × 50% × SAR 4,000 [C]

Layer widths on a square-root scale (actual ratio TAM : SAM : Beachhead ≈ 15 : 2 : 1). SOM is shown separately, not to the funnel's scale. Dossier Figure 3 uses proportional areas.

SOM · year 3
Spending settled through SportFlex

Base-case growth scenario — **SAR 5.85m** · 525 × 4,000 + 1,875 × 2,000 [C]

Lower planning case — **SAR 3.45m** · partners as small as A1 and A2

A **conditional growth scenario, not a validated forecast**: it depends on recruiting academies larger than the two interviewed (35–50 children). Revenue at 10% commission: base ≈ SAR 0.59m; lower planning case ≈ SAR 0.35m.

VALUE AT RISK · TABLE 15 [C]

SAR 5.3m

of prepaid value at risk each year in Riyadh · range SAR 0.4–29.9m

31,678 exploring children
× **SAR 1,350** average first commitment
× **25%** ending early
× **50%** unused
≈ SAR 169 expected loss per exploring child

Market size does not constrain a Riyadh pilot; providers do. Even the all-low SAM (SAR 92m) is ≈16× the base SOM.

SportFlex

Regulation, payment rails and parent behaviour aligned only recently — and the law decides the design

FORCE	WHAT IS TRUE	WHAT IT MEANS FOR SPORTFLEX	DECISION IT INFORMED
Legal DECISIVE	**Sports Law in force 11 Jun 2026:** academies and coaches must be licensed, compliance by Jun 2027 · **SAMA payment rules:** e-money at nominal value, aggregation is a licensed activity · PDPL: guardian consent for minors' data · 15% VAT on commission	A licensed partner must hold parents' funds; revenue from commission only, no float, no bonus value; **licence status becomes a checkable claim**	Partner-held wallet; legal opinion before any pilot
Technological	sarie instant payments (2021); Open Banking payment initiation (2024); 32 licensed payment companies (May 2026); gateways offer split payouts and capture after delivery	Technology is not the differentiator; multi-party settlement components exist	Build on a partner's rails
Social	Riyadh has the lowest share of active children (14.7% vs 18.7% national); referrals dominate (6 of 8); large gender gap	Headroom for participation; the barrier is trust in a new intermediary holding family money, not the digital channel	Referral-led acquisition; trust design

Economic (real GDP –3.8% YoY Q3 2026; cautious discretionary spend) · Political (Vision 2030: 40% exercising weekly; Nafis licensing) · Environmental (44–47°C summers; summer as trial window)
→ full table with sources on Backup B4

WHY NOW — THREE CONDITIONS THAT HOLD TOGETHER FOR THE FIRST TIME · TWO TIMING RISKS

- ✓ **The regulator is enabling** Sports Law licence register; SAMA Regulatory Sandbox
- ✓ **The infrastructure exists** instant payments, open banking, split payouts
- ✓ **Parents already pay electronically** 85% of retail payments (2025). Two years ago the first was missing.
- ⚠ **Implementing regulations not yet issued** (Oct 2026); regulatory route for holding funds unconfirmed
- ⚠ **Oil-driven slowdown** may raise price sensitivity to a flexibility premium

Dossier §6.1–6.3 · Table 11 · Bureau of Experts (2025) · Saudi Central Bank (2021, 2023a, 2024, 2026a, 2026b) · GASTAT (2024a, 2024b, 2026c) · Latham & Watkins (2026) · Reed Smith (2026)

SportFlex

A Profit Model change made portable by a Network — not a technology innovation

CONFIGURATION

1 Profit Model

2 Network

3 Structure

4 Process

OFFERING

5 Product Performance

6 Product System

EXPERIENCE

ENABLING

7 Service

8 Channel

9 Brand

10 Customer Engagement

CREATES THE VALUE — MAKES IT PORTABLE

Profit Model KEELEY TACTICS: METERED USE · RISK SHARING · SWITCHBOARD

What changes: who holds the family's prepayment and when the provider is paid. Parents pre-fund a wallet held by a licensed partner; providers are paid per confirmed session, or one short block in advance for group programmes; commission on settled value, not on package sales or float. **Value created:** a family's exposure falls from a whole package or term to the session or block actually started.

Network KEELEY TACTICS: ALLIANCES · COMPLEMENTARY PARTNERING

What changes: a licensed payment partner plus a contracted network of coaches, academies and centres that accept one balance. **Value created:** unused balance follows the child to another coach or sport — which no single provider can offer. **Why together:** a per-session rule inside one provider is a better refund policy; a network without new payment terms is a better directory.

DIMENSION	TODAY (PREPAID PACKAGE)	SPORTFLEX
Who holds the money before delivery	The provider	A licensed payment partner
What happens to unused value	Forfeited, or kept with that provider	Stays in the wallet; usable with any participating provider
Who bears the cost of a wrong choice	The family	Shared: family pays the session/block started; provider forgoes unstarted blocks

Dossier §8.1–8.2 · Tables 16–17 · Keeley et al. (2013) Ten Types · Tufano (2003) · Saudi Central Bank (2023b) BNPL precedent · Service replaced Network from Submission 2: service features are easy to copy

SportFlex

Try a coach, sport or format without forfeiting what you haven't used — at a stated price for flexibility

FOR PARENTS · VERSION 3

A pre-funded wallet, held by a licensed partner, usable with any participating coach, academy or sport

Providers are paid per confirmed session or one short block at a time. Unused sessions and unstarted blocks stay in the wallet. Licence status and cancellation terms are shown before booking. **Unlike a prepaid package or a booking app, SportFlex limits what a family loses on a wrong first choice to the session or block it has started.** The trade-off is explicit: flexibility may cost up to the package discount, about 10% at one Riyadh academy.

7 of 9

0

Stated-choice test: parents chose a flexible balance at SAR 300/session over a non-refundable ten-session package at SAR 2,700. Threshold of half met. A **stated preference** from a small group sample, not adoption.

FOR PROVIDERS

Families at the moment of choice; simpler booking; payment secured from reserved funds

Paid on schedule from funds already reserved; cancellation terms enforced — for a commission of about 10% on value settled for families SportFlex brings.

PROVIDER · 5 RESPONSES, 5–6 NOV 2026	COLLECTS UPFRONT?	ACCEPTS PER-SESSION SETTLEMENT?	WOULD CONSIDER A PILOT?
C1, C2 (football coaches)	Yes	Yes	C1 yes; C2 "maybe"
C3 (swimming coach)	Yes (venue costs)	Prefers acquisition-only commission	Yes
A1 (gymnastics centre)	Monthly subscriptions	"To a certain extent"	Yes, if terms agreed
A2 (martial-arts academy)	Needs advance to pay coaches	**Rejected** → then accepted weekly advance block settlement at 10% in a **non-binding letter of intent**	Yes, with conditions

WORKED EXAMPLE · TABLE 21

SAR 2,700 ten-session package, child stops after 3 sessions. Value forfeited:

SAR 1,890
Today's package — no refund or transfer

SAR 270
Wallet, weekly block settlement — SAR 1,620 stays portable

SAR 0
Wallet, one-to-one, paid per confirmed session

Dossier §9.1–9.3 · Tables 19–22 · §3.4 Table 3 · §4.4 Table 6 · Appendix E · C1–C3 coaches · A1 centre · A2 academy

SportFlex

Two critical uncertainties sit on the provider side and the regulatory route — both have a test and a stop rule

OPEN QUESTION	STATUS NOW	HOW AND WHEN RESOLVED
Will providers participate on the proposed terms (block settlement, ≈10% commission, portability)? CRITICAL	Preliminary and mixed; one non-binding LOI (A2); portability untested	Second provider round, ≥2 providers per category, commitment ladder: data-sharing → pilot listing → LOI; measures annual enrolment, capacity and the share of new families each provider would route (Submission 3, first priority)
Which licensed partner and structure can hold wallet funds, and is it Sharia-compliant? CRITICAL	Not established	Licensed payment provider + legal counsel before any pilot; SAMA Sandbox as a route
Will parents adopt and pay a premium for flexibility?	Stated choice 7 of 9; behaviour untested	Screened survey round, then concierge pilot (Submission 4)
How common is failure on a first commitment?	Interviews 4 of 8; screener 0 of 9; pooled ≈24%	Survey screening for recent starters/switchers; record amounts lost
Is paid participation near 8%?	Bounded 5–8% by supply check	Screener + provider enrolment data
Does flexibility attract mainly families likely to leave?	Inference only	Pilot: compare completion of wallet vs direct families

DECISION RULES · SET IN ADVANCE · §10.2

Continue
if providers in ≥2 of 3 categories commit at ≈10%

Fall back
to pay-per-booking (Structure A) if providers accept terms but place no value on reserved funds

Reframe
if no category commits, or most want only an acquisition channel

Dossier §10.1–10.3 · Tables 24–25 · §8.3 Table 18

SportFlex

Proceed, with two conditions — and here is the evidence that would change our mind

PROCEED, with conditions

The problem, the customer and the market meet the Gate 1 standard. The provider side has preliminary, mixed support and the regulatory route is unconfirmed; both become the first priorities of development.

THE CASE FOR

- **Problem is specific, customer-centred and consequential** — 7 of 8 committed before judging fit; failures about fit reshaped the problem
- **Customer bounded, reachable and countable** — ≈31,700 exploring children a year
- **Market sized transparently** — even all-low SAM (SAR 92m) far exceeds pilot needs; problem sized at ≈SAR 5.3m/yr at risk
- **Timing** — regulation, rails and behaviour aligned only recently
- **Innovation logic distinct** from booking/discovery, which the market already provides

THE CASE AGAINST

- **Provider evidence:** 5 exploratory responses, mixed acceptance, one non-binding LOI
- **Regulatory route** for the wallet unconfirmed
- **Adoption and willingness to pay** rest on a stated choice by 9 parents
- **Screener found failures less common** than interviews; sample small, own networks, mostly under 15
- **Year-3 SOM is a conditional growth scenario**, not a validated forecast: with partner academies as small as those interviewed, settled spending is nearer SAR 3.5m than 5.9m

CONDITIONS CARRIED INTO DEVELOPMENT

1. **Provider validation is the first work package:** from stated interest to commitments under the proposed settlement terms, before any further solution design.
2. **No pilot is designed** until a licensed payment partner and legal counsel confirm a permissible structure for holding wallet funds.
3. **The second parent round continues:** screened survey, repeated choice test, recorded losses, audio-recorded interviews outside our networks including parents of 15–17-year-olds.

WHAT WOULD CHANGE OUR MIND

→ Refine
if outside-network parents don't reproduce commitment-before-evidence, if providers accept only arrangements that remove portability, or if paid participation falls below 5%.

→ Reframe
if no provider category commits under any arrangement, or most want only an acquisition channel — the opportunity would shift to a parent-side guarantee on providers' own packages, or stop.

SportFlex

Market-sizing worksheet

LINE	ITEM	LOW	BASE	HIGH	TYPE
1	Children 6–17, Saudi Arabia	—	6,102,726	—	E
2	Children 6–17, Riyadh city	—	1,131,358	—	E
3	Participation rate P	5%	8%	12%	J
4	Annual spend per coached child S (SAR)	2,700	4,000	6,000	J
6	**TAM, SAR m** (1 × 3 × 4)	824	**1,953**	4,394	C
9	Serviceable-provider share	60%	70%	80%	J
10	Children at serviceable providers	33,941	63,356	108,610	C
11	**SAM, SAR m** (10 × 4)	92	**253**	652	C
12	Exploring share	35%	50%	65%	J
13	Exploring pool, children/yr	11,879	31,678	70,597	C
15–16	Providers × children per provider, year 3	40 × 30	60 × 40	80 × 50	J
19–20	Continuing + new children, year 3	315 + 885	525 + 1,875	735 + 3,265	C
21	Share of S settled by a new child	35%	50%	65%	J
22	**SOM year 3, SAR m**	1.69	**5.85**	17.14	C
24	**Platform revenue year 3, SAR** (take rate 8 / 10 / 12%)	134,946	**585,000**	2,057,220	C

Low/high columns combine all inputs at their extremes; they are **bounds, not forecasts**. Source: GASTAT (2023) via Urbistat for lines 1–2.

BACKUP B2

§7.4–7.5 · ONE INPUT VARIED AT A TIME

SportFlex

Sensitivity and reasonableness checks

INPUT VARIED (BASE; RANGE)	TAM (SAR M)	SAM (SAR M)	YEAR-3 SOM (SAR M)
Participation P (8%; 5–12%)	1,221–2,929	158–380	—
Spend per child S (4,000; 2,700–6,000)	1,318–2,929	171–380	3.95–8.78
Serviceable share (70%; 60–80%)	—	217–290	—
Providers × children, year 3 (60×40; 40×30 to 80×50)	—	—	3.45–9.05

Supply check

P = 8% requires each of ≈346 Riyadh private providers to coach ≈220 children/yr (plausible); 12% would require ≈350 (not plausible); supports 5–8%.

Affordability check

SAR 4,000/yr is 2.4% of median Saudi household disposable income, 9.1% of non-Saudi.

Top-down check

TAM is ≈8.8% of ≈SAR 22.1bn annual Saudi household recreation spend (GASTAT 2019 survey, dated; Saudi households only).

BACKUP B3

TABLE 6 · APPENDIX E · C1–C3 COACHES · A1 SPORTS CENTRE · A2 ACADEMY

Service-provider evidence in full

STATUS	FINDING	BASIS
Validated observation	Payment is collected in advance	C1–C3 collect before session/package (C3: venue costs); A1 monthly subscriptions; A2 monthly/term/annual/session packages, needs advance to pay coaches
Validated observation	Referrals are the main acquisition route	All three coaches; C2 also TikTok/Snapchat; C3 WhatsApp Business
Validated observation	Income risks differ	Irregular attendance (C1, C2); too few customers (C3); attracting new children (A2); late renewals (C3)
Validated observation	Refund practice varies	C1, C3 return unused value; A1 refunds in specific cases, tracks ≈10% unused/withdrawals; A2 does not refund or track
Validated observation	Interest broad; acceptance of payment-after-delivery mixed	5 of 5 interested; C1, C2 accept; C3 acquisition-only; A1 “to a certain extent”; A2 rejected
Validated observation	4 of 5 would consider a limited pilot	C1, C3, A1 (if terms agreed), A2 (conditions); C2 “maybe”
Validated observation	**A2 accepts weekly advance block settlement at 10%**	Follow-up contact; confirmed in a non-binding LOI; not yet piloted
Unvalidated assumption	Providers in general will accept the terms; findings generalise	One LOI; portability untested; five responses from the team’s networks

BACKUP B4

TABLE 11 · ORDERED BY DECISION RELEVANCE

Full PESTLE with sources

FORCE	WHAT IS TRUE	WHAT IT MEANS FOR SPORTFLEX	DECISION IT INFORMED
Legal (decisive)	Sports Law in force 11 Jun 2026: academies and coaches must be licensed, compliance by Jun 2027; SAMA payment rules: e-money at nominal value, aggregation is a licensed activity; PDPL: guardian consent for minors' data; 15% VAT on commission	A licensed partner must hold parents' funds; revenue from commission only, no float, no bonus value; licence status becomes a checkable claim	Partner-held wallet; legal opinion before any pilot
Technological	sarie instant payments (2021); Open Banking payment initiation (2024); 32 licensed payment companies (May 2026); gateways offer split payouts and capture after delivery	Technology is not the differentiator; multi-party settlement components exist	Build on a partner's rails
Social	Riyadh has the lowest share of active children (14.7% vs 18.7% national); referrals dominate (6 of 8); large gender gap	Headroom for participation; the barrier is trust in a new intermediary holding family money, not the digital channel	Referral-led acquisition; trust design
Economic	Real GDP −3.8% YoY in Q3 2026 (oil −20.4%, non-oil +1.9%); median Saudi household disposable income SAR 13,655/month	Cautious, not collapsing, discretionary spend; losses hurt more, but premium tolerance may fall	Conservative inputs; price sensitivity built into the choice test
Political	Vision 2030: 40% exercising weekly by 2030 (37% in 2023); Nafis licensing platform since 2021	Policy expands both participation and the licensed provider base the model needs	Government programmes excluded from SAM
Environmental	Riyadh summers 44–47°C; coaching indoors; summer-holiday search peak (P1)	Demand is seasonal	Summer as the trial window

Sources: Bureau of Experts (2019, 2025); Latham & Watkins (2023, 2026); White & Case (2026); Reed Smith (2026); Gulf News (2025); Saudi Central Bank (2021, 2022, 2023a, 2024, 2026a, 2026b); Moyasar (n.d.); Council of Economic and Development Affairs (2016); Quality of Life Program (n.d.); Saudi Press Agency (2021); GASTAT (2024a, 2024b, 2026a, 2026c); Bridge Middle East (2025); Ministry of Finance (2026); Arab News (2024); PwC Middle East (2021); Bird & Bird (n.d.).

BACKUP B5

§8.3 · FIGURE 4 · TABLE 18 · CONCEPTUAL, NO PRODUCT UI

Money flow and the three regulatory structures



STRUCTURE	HOW FUNDS ARE HELD	FIT	UNRESOLVED QUESTION
A. Pay per booking, capture after delivery	No stored balance; card authorised at booking, charged after session, split payout	Lightest regulation; fallback; cannot pay providers in advance or hold a term's funds	Authorisation window; aggregation vs. commercial-agent exclusion
B. E-money balance issued by a licensed partner	Partner issues and holds balance at nominal value; refundable	**Matches the wallet**, including portability and refunds	Is it e-money? Own licence or agency arrangement, and at what cost?
C. Limited-network prepaid value	Usable only within the contracted network, no cash redemption; SAMA registration	Supports portability within network	Conflicts with the refund promise; would the network qualify?

Team interpretation of Saudi Central Bank (2023a) Arts. 6, 7, 49; **not reviewed by counsel**.

Package economics under three arrangements

OUTCOME		PREPAID PACKAGE	A: PARENT PAYS SINGLE-SESSION RATE	B: PROVIDER FUNDS COMMISSION
Child stops after 3	Parent pays	2,700	900	810
	Provider receives	2,700	810	729
	SportFlex	—	90	81
Child completes 10	Parent pays	2,700	3,000	2,700
	Provider receives	2,700	2,700	2,430
	SportFlex	—	300	270

WHERE THE PREPAYMENT SITS (CHILD STOPS AFTER 3 OF 10)	CASH WITH PROVIDER BEFORE FIRST SESSION	VALUE FORFEITED	BALANCE KEPT FOR USE ELSEWHERE
Paid to provider at start (no refund/transfer)	2,700	**1,890**	0
Wallet, one-to-one, paid per confirmed session	0	**0**	1,890
Wallet, weekly block settlement (2 sessions/week)	540	**270**	1,620

VALUE-AT-RISK DISCIPLINE ON PRICE

Expected loss ≈ SAR 169 per exploring child vs. ≈ SAR 270 flexibility premium on a SAR 2,700 package under arrangement A. Paying more than the expected loss is what risk-averse buyers do when they insure; 7 of 9 still chose flexibility.

Jobs-to-be-Done and the four forces

> *“When my child wants to start a sport, or the current one is not working, I want to try a coach, sport or format that suits my child without locking money into a package I cannot recover, so that my child settles into coaching they enjoy and keep attending, without wasting money or weeks of searching.”*

FORCE	WHAT WE HEARD	EVIDENCE
Push of the situation	Child wants to start; current club/sport/method not working; summer triggers a search	P1; P2, P3, P5
Pull of a better way	A coach others praise; a way to try before committing; clear terms	P1; P2; P4; P8
Anxiety about the new	Losing money on a wrong choice; cannot verify qualifications	P1, P2; P3; P6, P7
Habit of the present	Trusting referrals; prepayment as normal; package discounts	P1–P3, P5–P7; 5–10% discounts (E)

Functional job rests on several accounts each; **emotional and social dimensions on one or two and need confirming**.

BACKUP B8

TABLE 23 · §4.7 LIMITATIONS

SportFlex

Business Model Canvas, first three blocks, and limitations

BLOCK	PARENTS (PRIMARY CUSTOMER)	PROVIDERS (NECESSARY PARTICIPANT)
Customer Segments	Riyadh parents of children 6–17 starting or changing; beachhead exploring families; performance-focused families as second segment	Independent coaches, newer academies, providers with spare capacity first; established academies with full terms later
Value Propositions	Try without forfeiting unused value; one balance across providers; licence status and terms shown before payment	New families at the moment of choice; simpler booking; payment secured from reserved funds; fewer missed renewals
Customer Relationships	Referral-led acquisition; concierge onboarding in pilot; trust via partner-held funds and stated dispute process	Personal onboarding; agreed settlement terms; self-service dashboard; periodic review of block length and commission

LIMITATIONS TO STATE IF ASKED · §4.7

8 interviews from own networks (likely more affluent, more digital); answers noted not transcribed; Q7 presupposed a failure; Q8 options overlapped (monthly vs. before sessions); children mostly under 15; screener did not screen for recent start; provider responses are five, from own networks, stated not committed; A1 enrolment/capacity figures ambiguous in order; A2 serves 13+ so only part of its enrolment is in scope.